

in 2012. If you pare it down, the strategy is simple: the investee company must be tech-first or one that uses technology innovatively to create a differentiating proposition.

That has informed the investments made in each of its four funds, beginning with the first one in 2008 that had a size of ₹146 crore. The second one, closed in 2013, had dry powder of ₹325 crore and the best return multiple on investment of 4.2x. The third fund was bigger at about ₹361 crore, and its fourth, and biggest yet at ₹900 crore, had its first closing on September 30, 2023, and is scheduled to have its final close on March 31, 2025.

There is a heavy emphasis on tech, Doshi says, because businesses can scale in a non-linear fashion, and there is a certain magic that is hard to replicate, which provides a competitive advantage. Take SaaS, for instance, where Athera waded in before it became a buzzword. “India is at an important [stage] on the SaaS story, and our companies account for less than 2% of the global market. But we have a large talent pool, and the potential is too large to miss [out on].”

That’s why it became the lead investor of a company like MoveInSync, which operates in employee transport management solutions, as far back as 2014—it has invested ₹15.9 crore. It is a demonstration of the “non-linear” ability that appeals to Athera. MoveInSync Founder Deepesh Agarwal says the company was initially just into the software business before it moved into fleet management. “Employee transportation was not a very big business, and we started off with Google as our first client before adding Microsoft and HSBC,” he says. Athera’s Kumar says the comfort factor came from marquee clients. “We always back the jockey,” he chips in.

It was by no means a glamorous business, but MoveInSync’s revenue has taken off from ₹4 crore in 2014 to ₹500 crore now. Agarwal recalls Kumar’s counsel at one meeting. “He said Athera invests in, say, 10 companies, and some may fail. But you have just one company.” The lesson was clear: adherence to financial diligence at every stage was critical.

One of Athera’s most visible successes is redBus, in which it invested ₹10.4 crore in mid-2009. The

shadow of the global financial crisis was still lurking in the background, but a decision to back the promoters—Phanindra Sama, Charan Padmaraju, and Sudhakar Pasupunuri—turned out to be a smart one. “When we put in our money, what stood out was a clear value proposition: convenience and price. Our strong belief was that the bus is the cheapest mode of transport,” points out Athera’s Dhol. In the case of PB Fintech, in which Athera invested ₹28 crore, it was in a heavily regulated industry, but “again [we] backed the promoters and it paid off”.

All these bets are premised on one factor: technology. Rajiv Mehta, who joined Athera after over two decades in consumer and retail with Puma, Arvind Brands, and Stovekraft, puts it thus: A sound understanding of technology and high-quality execution results in higher gross margins. “It is definitely our strength, and we must play to it,” he says.

## THE BIG EXITS

- PB Fintech has been the biggest success among the investee companies
- The company cuts cheques of ₹5 crore to ₹35 crore

| INVESTEE COMPANY | AMOUNT INVESTED (₹ CRORE) | RETURN MULTIPLE | INDUSTRY                                                 |
|------------------|---------------------------|-----------------|----------------------------------------------------------|
| PB Fintech       | 28.0                      | 21.3x           | Online B2C insurance                                     |
| redBus           | 10.4                      | 12.4x           | Online ticketing for inter-city bus travel               |
| Sokrati          | 8.6                       | 6.4x            | Search and social marketing automation                   |
| FundsIndia       | 11.2                      | 4.5x            | MF investment platform                                   |
| Instahealth      | 5.0                       | 4.2x            | Hospital management and electronic medical records       |
| Savaari          | 11.7                      | 2.2x            | Inter-city car rental aggregator                         |
| Aasaan Jobs      | 10.7                      | 2.1x            | Marketplace for blue-collar jobs                         |
| Funtoot          | 15.4                      | 2.1x            | Adaptive learning software for K-12 schools and students |
| Unbxd            | 33.2                      | 2.0x            | e-commerce search and product discovery SaaS             |

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